KO 1 3.8.1 | Choosing Markets & Products

AQA A-LEVEL BUSINESS 7132 - UNIT 3.8 CHOOSING STRATEGIC DIRECTION

WHAT STRATEGIC DIRECTION MEANS

Deciding which markets the business will compete in and which products it will offer.

These are long-term decisions that commit large amounts of resources and are hard to reverse.

FACTORS THAT INFLUENCE THE CHOICE

Corporate objectives and the owners' attitude to risk.

The business's strengths and core competences.

Finance, capacity and staff skills available.

How attractive the market is - size, growth, competition and profitability (e.g. using Porter's five forces).

The external environment - economic, political, social and technological change.

REASONS FOR CHOOSING DIFFERENT DIRECTIONS

Existing markets may be saturated or declining.

To spread risk across more products or markets.

To use spare capacity or existing skills and brand.

To respond to competitors or to new opportunities, e.g. new technology or growing overseas markets.

THE VALUE OF CHOOSING A CLEAR DIRECTION

Gives managers a shared focus and guides functional decisions.

Helps decide where to invest.

But the right direction depends on accurate analysis of the business's position; a poor choice can waste resources for years.

EXAM TRAP

Strategic direction is about markets and products. Don't confuse it with strategic positioning, which is about how the business competes - on price or on the benefits it offers.

ANALYSIS CHAIN

Home market saturated → business chooses to sell existing products overseas → new customers → sales growth resumes → but new risks from unfamiliar markets.

TOP GRADE CONNECTION

Judge a direction by how well it fits the business's strengths and resources. A move that looks attractive on market data can fail if the business lacks the skills to deliver it.

KO 2 3.8.1 | Ansoff's Matrix

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ANSOFF'S MATRIX

Shows four directions for growth, based on whether products and markets are existing or new.

PENETRATION AND MARKET DEVELOPMENT

Market penetration - existing products, existing markets. E.g. more promotion or lower prices to win share. Lowest risk, but limited growth if the market is saturated.

Market development - existing products, new markets. E.g. new countries or new segments. Uses known products, but the business may not understand the new customers.

NPD AND DIVERSIFICATION

New product development - new products, existing markets. Builds on customer knowledge and brand, but development is costly and products may fail.

Diversification - new products, new markets. Spreads risk across different areas, but is the highest-risk option because the business is unfamiliar with both.

VALUE AND LIMITATIONS

Value - a simple way to set out options and compare risk.

Limitations - does not tell the business which option to pick; risk depends on how 'new' the market or product really is; ignores competitors' reactions.

EXAM TRAP

Risk increases as the business moves away from what it knows. Diversification is the riskiest because both product and market are new - but it can also reduce overall risk by spreading it.

ANALYSIS CHAIN

Market development into a new country → existing products sold to new customers → sales growth without development costs → but local competitors and cultural differences may limit success.

TOP GRADE CONNECTION

The matrix shows options, not answers. Use the case to judge which option fits the business's resources, objectives and appetite for risk.

KO 3 3.8.2 | Porter's Generic Strategies

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PORTER'S GENERIC STRATEGIES

Three ways a business can compete: on cost or on differentiation, across a broad or a narrow market.

LOW COST AND DIFFERENTIATION

Cost leadership - be the lowest-cost producer in the market. Can charge similar prices to rivals for higher margins, or lower prices to win share. Needs scale and tight cost control.

Differentiation - offer something customers value and see as different (quality, design, brand, service). Allows higher prices. Needs ongoing investment.

FOCUS

Targeting a narrow segment with either a cost focus or a differentiation focus.

Lets a smaller firm serve a niche well, but the segment may be too small or attract larger rivals.

Porter argued that a firm trying to do everything risks being 'stuck in the middle' with no clear advantage.

INFLUENCES ON THE CHOICE

The business's strengths and core competences.

Its cost structure and scale.

What customers in the market value.

The positions competitors already hold.

EXAM TRAP

Cost leadership means the lowest costs, not necessarily the lowest prices. A cost leader can price like its rivals and earn higher margins.

ANALYSIS CHAIN

Differentiation through design → customers see the product as unique → demand less price elastic → higher prices possible → higher margins, if the difference is valued and hard to copy.

TOP GRADE CONNECTION

The value of a strategy depends on whether the business can sustain it. A differentiation strategy that rivals can copy quickly gives only a short-lived advantage.

KO 4 3.8.2 | Competitive Advantage

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WHAT IT IS

Something that allows a business to outperform its rivals, by offering better value through lower prices or greater benefits.

It comes from how the business competes - its positioning strategy.

BENEFITS

Higher margins or higher market share.

Customer loyalty and less need to compete on price.

Stronger cash flow to reinvest.

Greater resilience when the market becomes tougher.

DIFFICULTIES OF MAINTAINING IT

Competitors copy successful products and processes.

Technology changes can make an advantage irrelevant.

Customer tastes change.

Keeping ahead needs constant investment, e.g. in R&D, brand and staff.

MAKING IT LAST

Advantages based on things that are hard to copy - patents, brand reputation, culture, skills, relationships with suppliers - tend to last longer.

Advantages based only on price or a single feature are easier to copy.

EXAM TRAP

A competitive advantage must be something customers value. Being different is not enough if customers don't care about the difference.

ANALYSIS CHAIN

Strong brand reputation built over years → hard for new rivals to copy → customers stay loyal → business keeps premium prices → advantage sustained.

TOP GRADE CONNECTION

The key question is how long the advantage will last. Judge what it is based on and how easily competitors could match it.